The Younger, the Better

The younger you are when you start investing, the less you'll need to invest, thanks to the power of compounding and the length of time until retirement. You can't rely on social security as your sole source of retirement income, but fortunately there are a growing number of alternatives. Employers sponsor some of them; others are the do-it-yourself variety. Most employer-sponsored plans fall into one of three categories: defined benefit, defined contribution, and profit sharing.